

Bhageria Industries Ltd

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · NSE: BHAGERIA · BSE: 530803 · Report prepared 3 Aug 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's own earnings-call transcript, exchange filings, annual report and public financials.

1 Snapshot

What the business does: Bhageria makes *dye intermediates* — the chemical building blocks that dye manufacturers turn into colours for cloth and leather. Its three main products are **H-Acid**, **Vinyl Sulphone** and **Gamma Acid**; a fourth, **plasticizers** (softeners that make PVC cable, flooring and footwear flexible), started in December 2025. It also makes its own **sulphuric acid**, which cuts its input costs and is sold to outsiders as well. Two smaller arms sit alongside: a **solar power** business that sells electricity to state utilities under 25-year contracts, and a loss-making **pharmaceutical** unit making steroid and vitamin ingredients. Chemicals are 95% of sales. The plants are at Tarapur (Maharashtra) and Vapi (Gujarat).

Measure	Value	What it means in plain words
Market cap	₹963 cr	What the whole company is worth on the stock market — a small-cap.
FY26 revenue	₹871 cr	Total sales in the year to March 2026 — up 46% on FY25's ₹597 cr. The best year the company has ever had.
FY26 net profit	₹50 cr	Profit after all costs and tax, up from ₹42 cr. Sales rose 46% but profit rose only 19% — growth came cheap in volume, dear in margin.
FY26 operating margin	11.7%	About 12 paise of operating profit per rupee of sales — down from 15.2% in FY25 and 21% in FY22.
Q1 FY27 revenue	₹284 cr	The June 2026 quarter alone — up 80% on the same quarter last year. Biggest quarter ever.
Q1 FY27 net profit	₹36 cr	Up 200%. But ₹16.8 cr of the ₹48 cr pre-tax profit was other income , not operations — see section 3.
Exports FY26	₹304 cr	Foreign-currency sales more than tripled from ₹91 cr. This is the single biggest change in the business.
ROCE / ROE (FY26)	11.0% / 7.8%	Return on the money invested in the business. Low. The company earns less on its capital than a fixed deposit pays.
Borrowings (Mar 26)	₹8 cr	The parent company is effectively debt-free. Separately, the ₹152 cr solar project is 70% funded by a loan sitting inside a subsidiary.
Working capital days	72 days	Cash tied up in stock and unpaid customer bills — improved from 100 days a year ago. Genuinely better collection.
Promoter holding	71.77%	The Bhageria family owns just over seven-tenths. Unchanged for three years — no selling.

2 Concall coverage

Quarter	Call date	Transcript read?
Q1 FY26	No call held	—
Q2 / H1 FY26	28 Oct 2025	Yes — the only earnings call this company has ever held ★
Q3 FY26	No call (results 2 Feb 2026)	—
Q4 / FY26	No call (results 2 May 2026)	—
Q1 FY27	No call (results 22 Jul 2026)	—

This is the central fact of this report. Screener listed one concall and one was downloaded — there are no others to miss. Bhageria held its first-ever earnings conference call on 28 October 2025, and has not held another since. In the nine months that followed, the company reported

three sets of results, had a plant shut by the pollution board, had its credit rating put on watch for a downgrade, and saw its share price and trading volume spike enough for the exchange to ask questions. Not one of those was explained to shareholders on a call. Everything after October 2025 in this report is therefore reconstructed from exchange filings, the FY26 annual report and the rating agency's press release — sources listed at the end.

★ Latest concall highlights — Q2 & H1 FY26 (call held 28 October 2025)

- **Strong quarter, shrinking margin.** Half-year income ₹370 cr, up 48%; quarterly net profit ₹11.5 cr, up 80%. But an analyst pointed out margins had fallen from 15–16% two quarters earlier to about 10%, and management agreed: "the margins have shrunk because of the higher raw material prices."
- **Two expansions announced.** H-Acid capacity going from 400 to 500 tonnes a month for ₹5 cr, live "by January end", worth an extra ₹50–75 cr of annual sales. And a brand-new plasticizers line at Tarapur, 2,000 tonnes a month, built for only ₹10 cr by reusing existing plant, which management claimed could eventually do ₹240 cr of revenue a year.
- **Firm guidance, freely given.** Asked whether chemicals could do ₹800 cr for the full year, management said "between 725 and 775." Asked whether margins would improve 2–3 points to 13–14%, the one-word answer was "Definitely." Asked if Q4 would be better, "Yes."
- **Almost no data.** Management could not give volume growth, product-wise revenue, per-kilo spreads or input–output ratios on the call, promising each by email. For an only-ever call, this is a thin disclosure base.
- **Tone: confident, and dismissive of risk.** Utilisation "95%–97%". On the threat from Chinese competitors dumping product into India: "No one. We don't have any threat from China, at least for now." On the credit rating: "a stable A1." On the export mix: "We export major to Southeast Asia and to Europe somewhat." All three of those statements aged badly — see section 4.

What happened after the only call — nine months, no explanation

- **2 Mar 2026 — Oleum leak and plant closure.** A measuring tank holding oleum (fuming sulphuric acid) fell at the Tarapur plant. Fumes spread; employees and nearby residents were evacuated by local authorities. No injuries were reported. The Maharashtra Pollution Control Board ordered the **sulphonation section of the H-Acid unit shut**. Conditional restart was permitted on 18 March 2026. **H-Acid is 30–35% of total revenue** (CARE Ratings).
- **12 Mar 2026 — credit rating put on watch.** CARE Ratings placed the ₹91 cr bank facilities on "Rating Watch with Negative Implications" — a formal warning that a downgrade may follow — citing the shutdown. Four and a half months earlier, management had told the call the rating was "stable A1".
- **Dec 2025 & Mar 2026 — two GST demand orders** received from the Palghar CGST commissionerate.
- **SEBI matter still live.** A March 2023 SEBI adjudication order against promoters and directors remains under appeal at the Securities Appellate Tribunal, stayed, listed for final disposal in May 2026. The FY26 Directors' Report nonetheless states the company received "*no significant and Material order passed by the Regulators or Court during the financial year 2025-26*" — in a year that contained the MPCB closure direction.
- **14 May 2026 — "Bhageria Rare Earth Minerals Private Limited"** incorporated as a wholly owned subsidiary with ₹1 lakh of capital. No project, no capex, no disclosed plan. On 5 June the exchange formally queried the surge in the share's trading volume; the company replied that nothing material was undisclosed.

Business mix & capacity. Chemicals are ₹829.6 cr of FY26's ₹880.6 cr total income — about 95% of the company. Solar power contributed ₹27.1 cr of revenue but ₹11.4 cr of segment profit (a 42% margin, the most profitable rupee in the group). Pharmaceuticals brought in ₹6.5 cr and *lost* ₹7.5 cr. **Exports were ₹303.7 cr in FY26, roughly 35% of sales, against ₹91.1 cr (about 15%) in FY25** — the export book more than tripled in one year, and that is where essentially all the growth came from. **Where those exports go matters enormously: the annual report's own map puts China at 74% of export sales**, with Indonesia 6%, South Korea 5%, Thailand 4%, Brazil and Taiwan 3% each, and no European destination above Turkey's 1%. **Capacity utilisation was 95–97% through FY26** and remains there — H-Acid 4,800 tonnes a year (recently lifted from 400 to 500 tonnes a month), Vinyl Sulphone 3,600 tonnes, Gamma Acid 1,200 tonnes, plus 300 tonnes-a-day of sulphuric acid of which about 30% is used in-house and 70% sold outside. Management confirmed on the

call that **Tarapur is now maxed out and any further growth needs a greenfield plant** — none has been announced. Domestic-versus-export split by product is not disclosed; top 10 customers are 45–55% of revenue.

★ 3. Earning-trigger thesis

Something real happened to this business in FY26, and it is not the story management told. Exports tripled from ₹91 cr to ₹304 cr, plants ran flat out at 95–97%, and revenue jumped 46% to the highest in the company's 37-year history. **The engine is a China trade: 74% of exports now go to China**, the only other country on earth that makes these dye intermediates at scale — which means Chinese buyers are short of their own product and are pulling it from India. That is a powerful, visible driver while it lasts. But three things stop it being a clean thesis. **First, margins went the wrong way** — operating margin fell from 15.2% to 11.7% even as sales rose 46%, so almost half the extra revenue evaporated before it reached profit; net profit grew just 19%. **Second, the plants are full** at 95–97% with only a 25% H-Acid debottleneck added and no greenfield announced. **Third, last quarter's headline profit is flattered:** ₹16.8 cr of the ₹48 cr pre-tax profit was other income — a third of it — against just ₹9 cr of other income in the whole of FY26, and with no call held, nobody has explained what it was.

Trigger	What management said	Evidence so far	Horizon	Strength
Export boom (China pull)	"We are focusing on the export segment more rather than the local market. Export is doing good... margins would improve" by 2–3%.	Real and large: exports ₹91 cr → ₹304 cr, and chemicals segment profit margin has climbed from 8.4% in FY26 to 11.5% in Q1 FY27. But 74% of it is one country, and management never said so on the call.	1–2 yrs	Moderate Biggest real driver — but single-country and cyclical.
H-Acid debottleneck	400 → 500 tonnes/month for ₹5 cr, live by January 2026, worth ₹50–75 cr extra annual revenue.	Done — the FY26 annual report confirms capacity was lifted. Small, cheap, and it works. But it is the last of the easy capacity: the site is full.	Now	Strong Delivered, and paying.
Solar power (32 MW)	₹152 cr investment, ₹22 cr annual revenue, 75–80% EBITDA margin, ~16% equity return, 25-year state contract.	21 of 32 MW commissioned (7 MW each in Feb, Mar and May 2026). Solar already earns a 42% segment margin. This is contracted, annuity-like income — but tiny against ₹1,000 cr of sales, and 70% debt-funded.	1–3 yrs	Strong but small Real and dependable; moves ~2% of revenue.
Plasticizers	New line at Tarapur from Dec 2025, 2,000 tonnes/month on only ₹10 cr of capex, "around ₹240 Cr per annum" of potential revenue.	Production started on time. Eight months later, no plasticizer revenue, volume or margin has ever been disclosed. A ₹240 cr claim on ₹10 cr of spend is extraordinary and remains entirely unverified.	1–2 yrs	Unproven Started, but not one number since.
Pharmaceuticals	Steroid and vitamin ingredients for regulated markets; US and Japan filings; "break even in another next 2 years"; ₹30–35 cr already spent.	FY26 revenue ₹6.5 cr against a ₹7.5 cr segment loss. Q1 FY27 revenue fell to ₹0.7 cr. The annual report calls it "a foundation still being poured rather than a building already standing."	3–5 yrs	Weak Shrinking, loss-making, five years in.
Rare earth minerals	Nothing. A subsidiary was registered on 14 May 2026 with ₹1 lakh of capital and no announcement beyond incorporation.	No project, no capex, no partner, no revenue. It arrived in the same weeks the share's trading volume spiked enough for the exchange to send a query.	Unknown	Not a trigger A shell company, nothing more.

4 Management consistency scorecard

Period	What was promised / said	What actually happened	Verdict
Oct 2025 call	Chemical segment revenue of "between 725 and 775" crore for FY26.	₹829.6 cr. Beaten by roughly ₹60–100 cr. Credit where it is due — this was a real number, given freely, and comfortably exceeded.	Delivered
Oct 2025 call	H-Acid 400→500 tonnes/month, ₹5 cr, "by January end"; plasticizers commercial production "by the end of December 25".	Both done. The FY26 annual report confirms H-Acid capacity lifted and plasticizer production underway at Tarapur from December 2025. On physical execution this management is reliable.	Delivered
Oct 2025 call	Asked if margins would improve 2–3 points to 13–14%: "Definitely." Also: "The revenue would increase and the margins also would increase going forward."	The opposite. FY26 operating margin came in at 11.7%, down from 15.2% . The very next quarter (Dec 2025) margin collapsed to 8%. Margin only reached 14% in Q1 FY27, three quarters late and helped by non-operating income.	Missed
Oct 2025 call	"CARE Rating of Bhageria Industries long-term and short-term facilities at a stable A1."	On 12 March 2026 CARE placed the ₹91 cr facilities on Rating Watch with Negative Implications after the plant shutdown. Not something management could have foreseen in October — but they also never came back to explain it.	Overtaken by events
Oct 2025 call	"We export major to Southeast Asia and to Europe somewhat." And on Chinese competition: "We don't have any threat from China, at least for now."	The FY26 annual report's own map shows China at 74% of exports and no European country above 1%. China is not a threat to Bhageria — China is Bhageria's largest customer , by a distance, and management described its export book to shareholders in a way the company's own annual report contradicts.	Contradicted
Oct 2025 call	Plasticizers "around ₹240 Cr per annum" of revenue potential; margins to be analysed "by the Q4 of this year" and results shared "in the Q1 of the next year".	Q1 of the next year is the quarter this report covers. No plasticizer revenue, margin or volume has ever been published, and no call was held to discuss it.	Dropped
Oct 2025 call	Specialty chemicals to go from "5%–7%" of revenue to "20%–22%"; pharma to break even in two years.	Too early on the first. On pharma, the trend is backwards: FY26 revenue ₹6.5 cr with a ₹7.5 cr loss, and Q1 FY27 revenue down to ₹0.7 cr.	Too early / going wrong
Nov 2025 – Jul 2026	Implicit: having started an investor call programme, keep it going.	No further calls. Three results announcements, one industrial accident, one plant closure, one rating watch, two GST demands and one exchange volume query — none addressed to shareholders in a forum where they could ask questions.	Missed

Narrative drift. There is no drift in the *strategy* — Bhageria has made the same three dye intermediates for decades and the two additions (plasticizers, H-Acid capacity) are, as the chairman fairly says, "disciplined extensions of the same specialty chemicals expertise." The drift is in the *telling*. Three specific statements made on the only call — that the rating was stable, that exports went mainly to Southeast Asia and Europe, and that China posed no threat — were each superseded or contradicted within months by the company's own documents, and none was ever corrected in a public forum. The Directors' Report then states that no material regulatory order was received in FY26, in a year that included a pollution-board closure of the section making a third of the company's revenue. And in May 2026, with the share price running, a

rare-earth-minerals shell company appeared with ₹1 lakh of capital and no plan behind it. Executing well and communicating well are different skills. This management has the first and not the second.

5 Bottom line — two verdicts

Durable earning trigger? → MAYBE

There is a genuine trigger, and it is bigger than management ever described: exports tripled from ₹91 cr to ₹304 cr in one year and now run at about 35% of sales, driven overwhelmingly by China — the only other country that makes these chemicals at scale — pulling Indian product. Plants are full at 95–97%, revenue is at an all-time high of ₹871 cr going on ₹997 cr trailing, and the chemicals segment's own profit margin has improved from 8.4% in FY26 to 11.5% in the June quarter. Underneath it sits a small but genuinely durable annuity: 21 of 32 MW of solar commissioned, earning a 42% segment margin on 25-year state contracts. **What keeps this from a YES is that the trigger is a trade, not a moat.** Three-quarters of the export book depends on one country's supply gap; if China restarts capacity the flow reverses, and Bhageria has no pricing power to defend it — its own margin fell 3.5 percentage points while sales rose 46%, and ROCE of 11% and ROE of 7.8% say the capital in this business still is not working hard. The site is full with no greenfield announced, the ₹240 cr plasticizer claim has produced not one disclosed rupee, pharma is shrinking and losing money, and a third of last quarter's pre-tax profit was unexplained other income. Real, sizeable, and worth watching — but not yet proven to be durable.

Management consistent? → NO

Consistency cannot be granted to a management that stops showing up. Bhageria held one earnings call in its entire listed history, on 28 October 2025, and then went silent through three quarterly results, an oleum leak that forced evacuation of nearby residents, a pollution-board shutdown of the plant section making 30–35% of revenue, a credit rating placed on watch for downgrade, two GST demand orders and an exchange query about its own share volume. Nine months, none of it explained where investors could ask a question. And where the one call *can* be checked against the record, it does not hold up: they told shareholders the rating was "a stable A1" and it went on negative watch; they said exports went mainly to Southeast Asia and Europe, and the annual report shows China at 74% and Europe at nothing; they said China was no threat, when China had in fact become their biggest customer; they said "Definitely" to 13–14% margins and delivered 11.7%, down from 15.2%; they promised plasticizer economics "in the Q1 of the next year" and that quarter has now passed in silence. **The offsetting evidence is real and should be stated plainly:** they beat their own revenue guidance by a wide margin, they built the H-Acid expansion and the plasticizer line on schedule, they commissioned 21 MW of solar, they cut working capital from 100 days to 72, they raised the dividend, and the promoters have not sold a share. This is a family firm that does what it says it will build. It simply does not tell shareholders what is happening — and that, not the factory, is what a NO here is about.

Sources: One Bhageria Industries Limited earnings-call transcript — "Q2 and H1 FY '26 Earnings Conference Call", held 28 October 2025, filed with BSE/NSE on 30 October 2025, sourced from Screener.in (the only concall the company has held). Screener.in financial history — profit & loss, balance sheet, cash flow, ratios, quarterly results, shareholding. Bhageria Industries Annual Report FY 2025-26 (chairman's message, global presence map, segment-wise performance, foreign-exchange earnings, Directors' Report). Quarterly results filings for Q3 FY26 (2 Feb 2026), Q4 FY26 (2 May 2026) and Q1 FY27 (22 Jul 2026). Regulation 30 exchange filings: H-Acid capacity expansion (6 Oct 2025), MPCB conditional restart of the sulphonation section (19 Mar 2026), solar plant commissioning at Bhatkudgaon (28 Mar 2026), credit-rating revision (12 Mar 2026), SEBI/SAT order updates (8 Jan and 12 Mar 2026), GST demand orders (30 Dec 2025 and 31 Mar 2026), NSE volume-movement clarification (6 Jun 2026). CARE Ratings press release on Bhageria Industries Limited dated 12 March 2026.

A note on the numbers: figures are *standalone* unless stated, because that is the basis Screener and the company's own highlights use (FY26 total income ₹880.6 cr, net profit ₹50.3 cr). On a *consolidated* basis — including the solar and pharma subsidiaries — FY26 total income was ₹880.8 cr and net profit ₹44.5 cr, the difference being losses in those subsidiaries. Q1 FY27 was ₹284.0 cr revenue and ₹35.9 cr profit standalone, ₹286.4 cr and ₹33.9 cr consolidated.